

ECON 300 – Labour Economics

PRACTICE MIDTERM EXAM #2

Winter 2026

MULTIPLE CHOICE - Choose the one alternative that best completes the statement or answers the question.

- 1) Consider the diagram for a labour market in which the relevant job attribute is the stability of the hours (increasing from left to right). In other words, less stable jobs are characterized by irregular hours, with no guarantee of a full time job, but with the possibility of overtime hours some weeks. What would the curves look like?
 - A) The model cannot be used for this situation
 - B) Negatively sloped iso-profit curves and positively sloped iso-utility curves
 - C) Positively sloped iso-profit and iso-utility curves
 - D) Negatively sloped iso-profit and iso-utility curves
 - E) Positively sloped iso-profit curves and negatively sloped iso-utility curves
- 2) Consider the diagram for a labour market in which the relevant job attribute is job safety (increasing from left to right). Why are the iso-profit curves concave, i.e., bowed in towards the origin?
 - A) Because a firm's profit decreases if it provides a safer environment for the workers.
 - B) Because paying higher wages and providing a safer environment for the workers are both costly for the employer.
 - C) Because the marginal rate of transformation between wages and safety is increasing as a firm introduces stronger safety procedures.
 - D) Because there is a negative trade-off between job safety and wages
 - E) Because the marginal rate of transformation between wages and safety is decreasing as a firm introduces stronger safety procedures.
- 3) Which of the following statements does not pertain to wage structures?
 - A) The wage premiums that compensate workers for working jobs with undesirable characteristics
 - B) The relative prices of labour that are utilized in order to allocate labour to its most efficient use
 - C) The relative prices of labour that are used to remunerate skills and ability
 - D) The lowest wage levels at which workers will accept jobs having certain attributes
 - E) None of the answer choices are correct.

- 4) An iso-profit schedule is defined as:
- A) The various combinations of wages and safety that the firm can provide and maintain the same level of profits.
 - B) The various combinations of safety initiatives and wages that the firm can provide and still earn profit.
 - C) The variation between profit and loss margins that a firm earns as a function of changing wage and job safety levels.
 - D) The various combinations of wages and safety that the firm can provide and maintain the same level of utility for the labour force.
 - E) The various combinations of wages and safety that the firm can provide and maintain the same level of costs.
- 5) Fill in the blank in the sentence below. The iso-profit schedule exhibits a(n) _____ between wages and job safety levels.
- A) increasing marginal rate of transformation
 - B) diminishing marginal rate of transformation
 - C) diminishing marginal rate of substitution
 - D) increasing marginal rate of substitution
 - E) constant tradeoff
- 6) The decision to invest in human capital does not involve which of the following?
- A) The costs of tuition and books
 - B) Direct expenditures
 - C) Forgone earnings
 - D) Projected earnings
 - E) None of the choices are correct, as they all apply.
- 7) Fill in the blanks in the following sentence. _____ in the relative supply of _____ workers would _____ their wages.
- A) Increases; skilled; increase
 - B) Decreases; unskilled; depress
 - C) Increases; unskilled; depress
 - D) Decreases; skilled; depress
 - E) Increases; unskilled; have no effect on

- 8) Which of the following refers to general training?
- A) It is the training that can be used only by the firm that provides it.
 - B) It is the training that can be used by various firms.
 - C) It is the training that can be generalized to a wide range of jobs.
 - D) It is the training designed for generalists: so-called "jack of all trades."
 - E) None of these above
- 9) Fill in the blank in the following sentence. In the absence of _____, general training will be financed by the employees.
- A) bonding arrangements
 - B) government subsidies
 - C) job market signaling
 - D) specific human capital
 - E) Opportunity costs
- 10) A human capital earnings function is:
- A) a function relating an individual's earnings to his/her education level.
 - B) a function relating an individual's earnings to his/her characteristics that determine productivity.
 - C) a function relating an individual's earnings to the signals that he/she emitted to potential employers
 - D) a function relating an individual's earnings to his/her family background.
 - E) a function relating an individual's earnings to his/her professional background.

Answer Key

Test name: Practice MT2

- 1) D
- 2) E
- 3) C
- 4) A
- 5) B
- 6) E
- 7) C
- 8) B
- 9) A
- 10) A